Dangote Refinery IPO — Research Summary

Condensed from the IPO Research Brief v2 (13 Sep 2026). Offer: 4.1bn shares at ₦525 · 14 Sep – 13 Oct 2026 · Listing ≈ 2 Dec 2026

Evidence tags: [P] prospectus, page cited · [S] secondary source · [W] web, dated · [B] board calculation · [M] memory, unverified · [U] prompt input

1. What the offer is

4,100,000,000 new shares at ₦525 ($0.385 at ₦1,364), gross ₦2.15T, net ₦2.11T after 1.93% costs; up to 30% upsizing of oversubscription subject to SEC [P pp.33–37]. Post-IPO shares 124.23bn; free float 3.30%; market cap at listing ₦65.22T ≈ $47.8B [P p.35][B]. Dangote entities hold 84.4% post-IPO (DORC 63.7%, DIL 14.4%, Greenview 6.3%); NNPC 6.6% [P p.157] [B]. Tradable float ≈ 2.5% if the $400M SPV commitment holds [S][B]. **The prospectus contains no lock-up or moratorium language for any holder** (full-text search). Shares will be **quoted on the NGX in US dollars and settled in naira** [P p.181] — the position is mechanically a dollar asset in a naira wallet. Proceeds fund part of a $14.3B expansion to 1.4mbpd by 2029 [P p.34].

2. Prompt inputs that did not survive the prospectus

Input	Prospectus / best source	Consequence
GRM $30.70/bbl [U]	H1 2026 $24.50; Q1 $33.70; Q2 ≈ $18 [S]; **issuer's 2026 estimate $24.2** [P p.80]	$30.70 is the H2 rate a $27.55 broker forecast needs, not a reported figure
1-for-10 loyalty bonus [U]	**1 share after 12 months + 1 after 24, per eligible investor, "regardless of the number of Offer Shares held"**; shareholder/SEC/OGFZA/NGX approvals not yet obtained [P p.65]	₦1,050 on a ₦997,500 ticket = 0.105%; friction is 25–38x larger
18x EV/EBITDA	Trailing **17.0x**; run-rate **9.5x**; 2026E **8.6x** [B]	Denominator-dependent; all three shown
15% green shoe	30% [P p.37]	Prospectus governs
56% naira revenue [U]	Export share of volume 42.5% in Q1 2026 → domestic ≈ 57.5% [P p.114]	Approximately corroborated
USD dividends	Policy: intends to *declare* in USD; may *pay* in USD, naira or other; no payout ratio [P p.132]	Option with undefined mechanics, not a feature

3. Valuation

Line (30 Jun 2026)	Value	Tag
Cash	$4,267M	[P p.75]
Borrowings	$5,666M, all secured	[P p.75]
Net debt	**$1,399M**	[B]
Equity	$10,631M	[P p.75]
Enterprise value at ₦525	**≈ $49.2B**	[B]
H1 2026 EBITDA	$2,600.7M (op. profit 2,365.3 + D&A 235.4)	[P pp.76–77][B]
FY2025 EBITDA	≈ $545M; H2 2025 ≈ $287M	[S][B]
LTM EBITDA	≈ $2.89B → **17.0x**	[B]
Run-rate EBITDA	$5.20B → **9.5x**	[B]
Run-rate P/E	13.1x; **17.0x** ex the parent's hedge absorption	[B]
P/B	4.5x reported; ≈ 3.8x pro-forma	[B]
Gross / net D/E	0.53x / 0.13x; net debt/run-rate EBITDA 0.27x	[B]

Reading: at 3.8–4.5x book the market is capitalising earnings power, not assets; a 13x P/E on peak-cycle refining is the classic cyclical trap. Leverage is not a risk — net debt goes to roughly zero post-money. The one variable that decides fair value is **mid-cycle EBITDA**. Both published fair values above the offer (Chapel Hill $62.5B; Renaissance $53.9–62.1B [S]) come from Joint Issuing Houses to the offer [P p.33] and require 2026 margins above the issuer's own guidance.

Peers (dated public data; S&P connector unavailable): DPRP NCI 11.5 vs EM average 8.9 [P p.80] and Jamnagar 21.1 [W]. Forward P/E: Marathon 9.2x, Valero 10.5x (Aug 2026), Tüpraş 9.9x (Sep 2026) [W] — DPRP at 13x run-rate is priced above

every listed refiner while single-train, single-country and pre-dividend.

4. Geopolitics and feedstock (grounded, Mar–Sep 2026)

A US–Israel war on Iran since late February; Hormuz mostly halted; Brent $70 → $100+, back above $100 on 9 September after tanker strikes and Houthi attacks on Aramco [W]. Q1 GRM $33.70 was partly a war margin; Q2 fell to ~$18 within weeks of a June reopening deal [S]. DPRP's Atlantic-Basin position (no Hormuz transit; Europe's largest jet/diesel supplier in July [S]) is the one advantage the conflict amplifies. The shock cuts against feedstock first: ~40% imported crude [S]; NNPC access "up to 350,000 bpd subject to availability" [P p.114]; naira-crude volumes disputed between the parties [W]; since July, domestic petrol sold in dollars [W]. Export share of volume has *fallen* from 61.9% to 42.5% in a year [P p.114] — the business is becoming more domestic and more policy-exposed.

5. Quality of earnings — three things the headline hides

1. **Hedging moved to the parent.** From 1 Jan 2026 DPRP transferred commodity hedging to DIL under a back-to-back derivative; H1's nil net result is an external loss offset by an intercompany gain [P pp.86, 93]. Magnitude ~$410M per Chapel Hill [S] ≈ 22% of H1 PAT. EBITDA unaffected (line sits below operating profit); PAT ex-offset ≈ $1.41B. DPRP is now economically unhedged at its own level. Due from related parties at 30 June: $414.0M [P p.158] — same order as the offset; a question for the first results call.
2. **Margin peak already passed within H1.** Q1 $33.70 → Q2 ≈ $18 [S]; management guides $24.2 for the year [P p.80].
3. **Debt was restructured, not just repaid.** Dec 2025: $2.26B secured bank + $3.99B unsecured DIL; Jun 2026: $5.67B all secured; share premium rose $1.7B → $8.2B as the parent converted exposure to equity [P pp.75, 159]. Leverage rises again from 2027 to fund the expansion.

6. Retail framework (₦500k–₦1M) — not personal advice

- **Bonus is irrelevant** to sizing; its only effect is that pledging or trimming below 10 shares inside 24 months forfeits ₦1,050.
- **Tranche 1 at ₦525**: small tickets sit under the Full Allotment Threshold [P p.37] and pay platform fee only (issuer bears the 1.93%) — about 1 point cheaper than secondary buys. Place what you would hold through a **35–50% drawdown** (the NGX base rate, §8), in one application, any day before 13 Oct.
- **Tranches 2–3 (Dec 2026 – May 2027)**, in USD terms: T2a at ≤ $0.346 (≈ ₦472) in months 1–3; T2b on FY2026 results showing H2 GRM ≥ $20 and utilisation ≥ 90%; T3 at ≤ $0.308 (≈ ₦420) — or nothing if H2 GRM < $15. Held-back cash earns ~17% (364-day NTB stop 16.62%, 9 Sep [W]); six months of that ≈ 8.4% of a ₦500k tranche.
- **Tax**: no CGT where 12-month disposal proceeds < ₦150m and gain ≤ ₦10m [P p.176]; dividend WHT 10% [P p.176].

7. Verdict matrix (conditional on bands; board estimates)

	A — Bull (GRM $22–28; issuer guidance sits at low edge)	B — Base (GRM $12–16 by 2027)	C — Bear (GRM $8–12; caps/export curbs)
Annual EBITDA	$5–6B	$2.5–3.5B	$1.5–2.2B
Fair quote	$0.35–0.47 (₦480–645)	$0.13–0.22 (₦175–295)	$0.05–0.10 (₦65–130)
1 year	Subscribe	Hold committed tranche; do not add above ₦525	Avoid
3 years	Subscribe	Hold; accumulate below ₦450 only	Avoid
5 years	Subscribe	Hold with discipline	Avoid

Observables that settle it: H2 2026 GRM at FY2026 results (~Mar 2027): ≥ $20 → A, $15–20 → B, < $15 → C; Hormuz/Brent; NNPC cargoes per month; first dividend notice and its currency; FY2026 disclosure of the intercompany derivative; regulatory action on pricing/exports; how the USD quotation trades in month one.

Board position: fair under A, expensive under B and C; B carries the highest weight. The USD quotation is the strongest argument for owning *some* — not for owning more. Committed core sized for the base-rate drawdown, held-back capital at ~17%, written triggers.

8. NGX post-listing base rate (all price paths [M], ±10 points)

Genuine price-anchored public offers must be separated from listings by introduction (Dangote Cement, MTN 2019, BUA Foods, Geregu, Aradel, Transcorp Power — no offer price, tiny float). Of nine price-anchored offers since 2005 (Transcorp, Dangote Sugar, Dangote Flour, the 2007 bank cohort, Seplat, MedView, SAHCO, Airtel, MTN 2021), **eight broke below**

issue; MTN 2021 is uncertain — roughly 85–90%, not the 60–65% previously asserted. Average maximum drawdown for dippers: **≈ −60% all; ≈ −45% excluding the 2008 crash cohort; ≈ −35% large-cap post-2010** (Seplat ~−50%, Airtel ~−18%). Recovery to issue: 2–7 years for large caps; 10–16 years or never for the 2008 cohort. DPRP shares the features that correlate with breaking below (fixed price at a cyclical high; large retail allotment; no lock-up), and one feature no precedent has: a USD quotation, which shows the drawdown in dollars and lets the naira print rise on devaluation.

Not verified here

§8 price paths (settled only by NGX historical series); the $410M hedge magnitude (Chapel Hill via Ecofin); whether the $414M receivable is the derivative; risk factors pp.134–155 read by keyword only; reporting accountant’s report (image pages); peer EV/EBITDA (connector unavailable — authentication requires S&P Global entitlement); NGX mechanics for a USD-quoted equity.